



UNIT - 01

Introduction & Basic Concepts

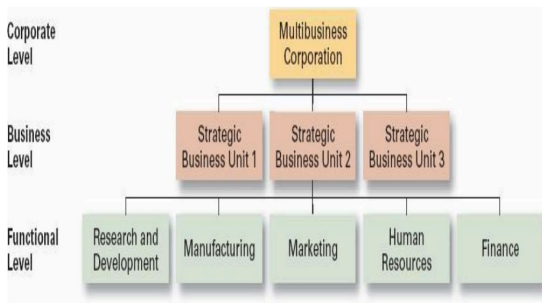
Meaning and Nature of Strategic Management, its importance and relevance. Characteristics of Strategic Management. The Strategic Management Process. Relationship between a Companies' Strategy and its Business Model.

Introduction to Strategy Concepts

Definition

According to Johnson and Scholes, "strategy is the direction and scope of an organization over the long-term: which achieves advantage for the organization through its configuration of resources within a challenging environment, to meet the needs of markets and to fulfil stakeholder expectations".

Strategy at different Levels of a Business





Strategies exist at several levels in any organization – ranging from the overall business (Or group of businesses) through to individuals working in it.

1. Corporate Strategy – is concerned with the overall purpose and scope of the business to meet stakeholder expectations. This is a crucial level since it is heavily influenced by investors in the business and acts to guide strategic decision-making throughout the business. Corporate strategy is often stated explicitly in a “mission statement”.

Eg. Coco cola, Inc., has followed the growth strategy by acquisition. It has acquired local bottling units to emerge as the market leader

2. Business Unit Strategy – is concerned with how a business competes successfully in a particular market. It concern strategic decisions about

- Choice of products,
- Meeting needs of customers,
- Gaining advantage over competitors,
- Exploiting or creating new opportunities.

Example: Apple Computers uses a differentiation competitive strategy that emphasizes innovative product with creative design.

3. Operational Strategy – is concerned with how each part of the business is organized to deliver the corporate and business unit level strategic direction. Operational strategy therefore focuses on issues of

- resources,
- processes,
- People etc.

Importance and relevance of strategic management:

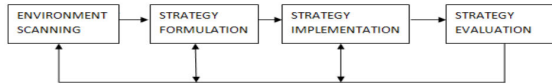
- Involvement of managers at all the level of the firm.
- Enhance firm's ability to prevent problems.
- Better decision and best available alternatives can be chosen.
- Clarifies differences in roles of employees.
- Enhance productivity
- Heightens employee motivation because of they involvement in strategy formulation.
- Gaps and overlaps in activities among individuals and groups are reduced.

**Characteristics of Strategic Management:**

Characteristic	Levels of strategy		
	<i>Corporate</i>	<i>Business</i>	<i>Functional</i>
<i>Cost</i>	Major	Medium	Modest
<i>Time horizon</i>	Long range	Medium range	Short range
<i>Flexibility</i>	High	Medium	Low
<i>Cooperation</i>	Considerable	Moderate	little
<i>Adaptability</i>	Low	Medium	High
<i>Relation present activities</i>	Innovative	Mixed	Supplementary
<i>Risk</i>	Wide range	Moderate	Low



Strategic management process:



Step-1: Environment Scanning:

Conducting an internal analysis

- Assessing organizational resources, capabilities, activities and culture:
- Strengths (core competencies) create value for the customer and strengthen the competitive position of the firm.
- Weaknesses (things done poorly or not at all) can place the firm at a competitive disadvantage.

Conducting an external analysis

- The environmental scanning of specific and general environments, Focuses on identifying opportunities and threats

Step 2: Formulating strategies

- Develop and evaluate strategic alternatives
- Select appropriate strategies for all levels in the organization that provide relative advantage over competitors
- Match organizational strengths to environmental opportunities

Step 3: Implementing strategies

- effectively fitting organizational structure and activities to the environment
- Effective strategy implementation requires an organizational structure matched to its requirements

Step 4: Evaluating results

How effective have strategies been?

What adjustments, if any, are necessary?



Limitations of strategic management:

- Time consuming
- Challenging process
- Absence of short term benefits
- Unexpected outcomes
- Poor adaptability
- Limited set of rules.

Relationship b/w a Company's Strategy & its Business Model:

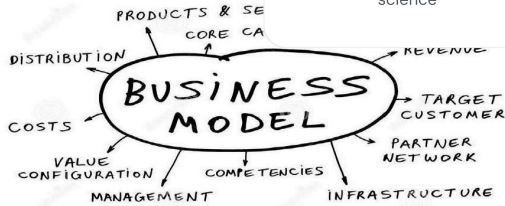
➤ **Company's Strategy**

The term "business strategy" describes the methods a business uses achieve its mission and objectives. A business' mission encompasses its overall purpose, core values, and long-term goals.

➤ **Business Model**

A company's business model describes the basic means by which it creates value, delivers value to consumers and collects revenue from customers to make a profit. Business models can vary greatly from one company to another.







Unit 02

Strategy Formulation- Understand strategic management process business definition & Organization values that build mission statement. Describe strategic vision, mission, goals, long-term objectives, short-term objectives and discuss their value to the strategic management process. Balanced Scorecard.

What Is Strategy Formulation?

- Development of long term plans for the effective management of environmental opportunities and threats, in the light of corporate strengths and weakness is called strategy formulation.
- Strategy formulation includes defining corporate mission, specifying objectives, developing strategies and setting policy guidelines.

Process of strategy formulation:

**Developing Strategic Vision &
Mission for a company**



Setting Objectives



**Setting Strategic Objectives &
Financial Objectives**



Step 1: Developing Strategic Vision & Mission for a company

- A **vision statement** is a must for developing a strategy. Exploring and deciding on the vision of the company gives clarity on the main objectives of the company.
- **Vision Statement:** A one-sentence statement describing the **clear** and **inspirational** long-term desired change resulting from an organization or program's work.
Example: Google Vision Statement "To provide access to the world's information in one click."

➤ **Developing Strategic Vision & Mission for a company**

- An organization's **mission** is the purpose or reason for the organization's existence.
- It tells what the company is providing to society - service or a product.
- Mission statement clearly specifies the purpose of the organization.
- Mission statement describes what the organization is now and what it would like to become. **Mission of Toyota** -Toyota seeks to create a more prosperous society through automotive manufacturing.

Step 2:Setting Objectives:

Definition: The desired or needed result to be achieved by a specific time. An objective is broader than a goal, and one objective can be broken down into a number of specific goals.

Purpose of setting OBJECTIVES is to:

- Convert mission into performance targets,
- Create yardstick to track performance,
- Establish performance goals requiring stretch,
- Push firm to be inventive, intentional, focused.

Step 3: setting financial and strategic objectives:

➤ **Financial Objectives**

Outcomes that relate to improving firm's financial performance

- The primary objective is concerned with the return to shareholders.
- A satisfactory returns; for a company must be sufficient to reward shareholders adequately in the long run for the risks they take



The reward will take the form of profits which can lead to dividends or in increase in the market value of shares.

Examples: 1. Increase earnings growth from 10 to 15% per year, Boost return on equity investment from 15 to 20%

Strategic Objectives

Outcomes that will result in greater competitiveness & stronger long-term market position. Strategic objectives are long-term organizational goals that help to convert a mission statement from a broad vision into more specific plans and projects.

- Examples:
- 1 .Up firm's market share from 18 to 22%
 - 2 Overtake rivals on quality or customer service
 - 3 Attain lower overall costs than rivals
 - 4 Become leader in new product introductions
 - 5 Achieve technological superiority

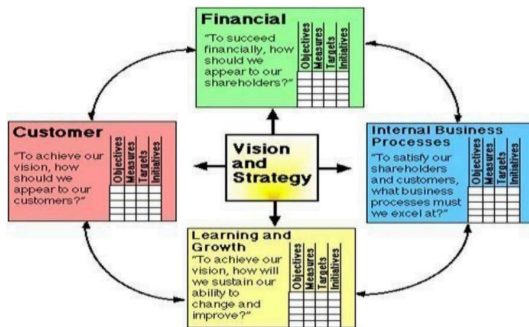
Elements of a mission statement:

- Clearly articulated. – Easy to understand the values and purpose.
- Relevant – In terms of its history, culture, and shared values.
- Current – Not outdated
- Written in a Positive (Inspiring) Tone – capable of inspiring and stimulating
- Commitment towards fulfilling the mission.
- Unique – Not copied from similar units.
- Enduring – Should guide, inspire and challenging.
- Adapted to the Target Audience – Stockholders, consumers, employees through shared values and standards of behavior.



Balanced Score Card

- Balanced Score Card has been proposed and popularized by Robert. S. Kaplan.
- It is a performance tool which “Provides executives with a comprehensive framework that translates a **company’s strategic objectives** into a coherent set of performance measures”.
- The Balanced Scorecard (BSC) is a strategic planning and management system that is used extensively in business and industry worldwide **to align business activities to the vision** and strategy of the organization, **improve internal and external communications**, and **monitor organization performance** against strategic goals





(i) Financial Perspective

- Financial measures are outcomes that represent the executive's success at achieving strategic performance goals
- Financial measures are influenced by the Stage of the Life Cycle which reflects different strategic priorities.

Example: 1. Return-on-capital employed
2. Project profitability
3. Profit forecast reliability

(ii) Customer perspective

Recent management philosophy has shown an increasing realization of the importance of customer focus and customer satisfaction in any business. These are leading indicators: if customers are not satisfied, they will eventually find other suppliers that will meet their needs.

Examples:

1. Pricing index
2. Customer ranking survey
3. Customer satisfaction index

(iii) Internal Business Perspective

This perspective refers to internal business processes. Metrics based on this perspective allow the managers to know how well their business is running, and whether its products and services conform to customer requirements (the mission).

Example:

1. Hours with customers on tender success rate
2. Rework
3. Safety incident index
4. Project performance index
5. Project close out cycle



(iv) Innovation & Learning Perspective

- ❖ This perspective includes employee training and corporate cultural attitudes related to both individual and corporate self-improvement.
- ❖ In a knowledge-worker organization, people the only repository of knowledge are the main resource. In the current climate of rapid technological change, it is becoming necessary for knowledge workers to be in a continuous learning mode

Example:

- % revenue from new services
- Rate of improvement index
- Staff Attitude survey
- Employee suggestions
- Revenue per employee.

Value of Long-Term Objectives To The Strategic Management Process:

Performance goals of an organization, intended to be achieved over a period of five years or more. Long-term objectives usually include specific improvements in the organization's:

1. Competitive position,
2. Profitability,
3. ROI,
4. Technological leadership,
5. Productivity,
6. Employee relations,
7. Public responsibility, and
8. Employee development.

- **Competitive position:** Position a firm occupies in a market, or is trying to occupy, relative to its competition.
- **Profitability:** The state or condition of yielding a financial profit or gain. It is often measured by price to earnings ratio.



- **Technological leadership:** The purposeful application of information in the design, production, and utilization of goods and services, and in the organization of human activities.
- **Productivity:** A measure of the efficiency of a person, machine, factory, system, etc., in converting inputs into useful outputs. Productivity is a critical determinant of cost efficiency.
- **Employee relations:** Communications between management and employees concerning workplace decisions, grievances, conflicts, problem resolutions, unions, and issues of collective bargaining.

Qualities Of Long-Term Objectives

1. Acceptable,
2. Flexible,
3. Measurable,
4. Motivating,
5. Suitable,
6. Understandable, and
7. Achievable.

Value of Short-Term Objectives To The Strategic Management Process:

A smaller, intermediate milestone to achieve when moving toward an important goal. Many business operators will set a short-term objective for their staff in order to assist them in moving gradually toward the company's longer term goals.

- Short-term marketing activity
- Raw material usage
- Employee turnover, and
- Sales objectives



The Hierarchy of Strategic Intent

- It refers to purpose for what organization strives for. Organization must define “**what they want to do**,” “**why they want to do**”.
- This “**why they want to do**” underlines the end result and in management terms it is known as strategic intent.
- Strategic Intent has a hierarchy: **Vision, Mission, Goals and Objectives.**



Vision should be in less number and plans can be more in number. The vision statement should be most integrative and plans can be most specific in an organization.

VISION: Vision represents what the organization would be in future. Create projections about where it should go in future. 'A realistic, credible and attractive future for an organization

MISSION; Defined as the fundamental, unique purpose that sets a business apart from other firms of its type and identifies the scope of its operations in product and market terms

- It is a statement of attitude, outlook and orientation
- It communicates what the firm wants to be and It indicates the businesses the firm will pursue and the customer needs it will seek to satisfy Shaped by the vision of the corporation's leaders



GOALS: Goals denote what an organization hopes to accomplish in a future period of time.

They represent the future state or outcome of effort put in now.

OBJECTIVES: are the ends that state specifically how the goals shall be achieved. They are concrete and specific in contrast to goals that are generalized



Unit-03

Analyzing A Company's External Environment

Analyzing a company's External Environment-The strategically relevant components of a company's External environment, industry analysis, what factors are driving industry change and its impact, porter's dominant economic features, competitive environment analysis, porter,'s five force model, Key success factors and implementation.

External Environment

"an organizations external environment is an aggregate of all conditions ,events and influences that surround and affect it, consists of those things outside an organization such as customers ,government units, suppliers, financial firms and labor pools that are relevant to an organizations operations"

Environmental Analysis

"The process by which organizations monitor their relevant environment to identify opportunities and threats affecting their business is known as environmental analysis or audit"

Environment Scanning

"Is a process by which organization monitors their internal and external environment to spot opportunities and threats affecting their business, the basic purpose are to help management determine the future direction of the organization. Scanning involves reviewing and evaluating."

- ✓ Imprints the image of existing environment
- ✓ It makes possible to have effective strategy
- ✓ the external environment throws open the opportunities and threats
- ✓ Helps in reading the future

The Strategically Relevant Components Of A Companys External Environmet

1. General Environment/ Macro Environment

- Overall environment within which firms operate
- Consists of economic, social, demographic, political, legal, and technological framework within which the industry and company are placed
- Forces do not have any immediate direct effect on the operations but they have influence



- Firms cannot directly control the general environment
- Gather information required to understand each segment

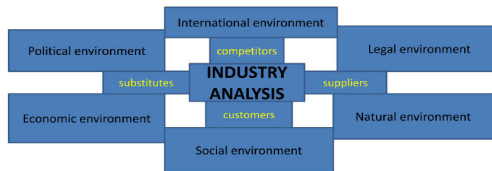
2. Industry Environment/ Micro Environment

- Consists of elements like **competitors, customers and suppliers, rival Firms, substitute products.**
- Set of factors influences directly on the firm like new entrants, substitutes, power of suppliers, buyers etc
- Directly affect and affected by the organizations operations
- More specific and immediate environment in which an organization conducts its business
- Strategies should match to the needs of external environment
- Adjustments of organization to these forces are vital so that its market share increases, profitability and other goals and objectives can be achieved by utilizing its Strength and opportunities

Industry Analysis

"Industry is a group of firms manufacturing goods or rendering service of identical products"

Example:-Steel industry we mean all those units engaged in producing steel or iron and steel products..



- ✓ Every industry holds a position or role in the chain of activities necessary to convert physical ,financial and human resource into more valued goods or services and market them
- ✓ The whole chain from raw materials to final consumers is called" **value chain**"
- ✓ IA helps the firm to answer 2 questions.



Industry analysis consists of

1. Micro Environmental analysis

Under micro environmental analysis the company should analyze the controllable factors like.

- Competitors
- Suppliers
- Customers
- Substitutes

2. Macro environmental analysis

Under macro environmental analysis the company should analyze the uncontrollable factors like.

- Political environment
- Economical environment
- Social environment
- Technological environment
- Legal environment
- Natural environment
- International environment.

Porters Dominant Economic Features

- Market size and growth rate
- Number of rivals
- Scope of competitive rivalry
- Number of buyers
- Degree of product differentiation
- Product innovation
- Supply/demand conditions
- Pace of technological change
- Vertical integration
- Economies of scale
- Learning /experience effects

Competitive Environment Analysis

“It helps a firm to understand, interpret and predict its competitors actions and responses”

- ✓ It is final part of environmental analysis
- ✓ It focuses on each company against which a firm directly compete Example: Nike vs Reebok, coca cola vs Pepsi
- ✓ Here firms are keenly interested in understanding each other's objectives , strategies, assumptions and capabilities



Porters Five Forces Model



Threat Of New Entrants When is stronger

- ✓ When entry barriers are low
- ✓ When existing industry members are looking to expand their market reach by entering product segment or geographical areas
- ✓ When they expect attractive profits
- ✓ When buyer demand increase
- ✓ When competitors cannot compete effectively

When is weak

- ✓ When existing competitors are struggling to earn healthy profits
- ✓ Brand loyalty
- ✓ Policies of the government are strict(strict entry barriers)
- ✓ Developed channels of distributions and rapport by existing competitors



Rivalry Among Established Competing Sellers

- ✓ Competing sellers are active in making fresh moves to improve their market standing and business performance
- ✓ Rivalry intensifies as the number of competitors increases and as competitors become more equal in size and capability
- ✓ Rivalry is usually stronger in slow growing markets and weaker in fast growing markets
- ✓ Rivalry increases when buyer demand falls off and sellers find themselves with excess capacity
- ✓ Rivalry increases as it becomes less costly for buyers to switch brands

Threat of close substitutes

- ✓ Buyers propensity to substitute
- ✓ Relative price performance of substitutes
- ✓ Buyer switching cost
- ✓ No of substitute products
- ✓ Quality depreciation
- ✓ Ease of substitution information based products are more prone to substitution

Bargaining power of buyers

Are most powerful when

- ✓ When the suppliers are composed of small firms and their number is very high and the buyers are few in number and large in size
- ✓ When the buyers purchase the goods in bulk quantities
- ✓ When the suppliers are dependent up on buyers for a large percentage of their total orders
- ✓ When the buyer can switch orders between supply companies at a low cost and encourage competition among each other to force down prices
- ✓ When if it is economically feasible for the buyers to purchase the raw materials from several companies at once
- ✓ When the buyer can supply its own needs through vertical integration



Bargaining power of suppliers

Are most powerful when

- ✓ When the suppliers products have a few substitutes and the company is dependent upon the product
- ✓ When the firms industry is not as substantial and significant customer to the suppliers and consequently the suppliers have little incentive to reduce prices or improve quality
- ✓ When the suppliers products are differentiated widely and the company is dependent upon its suppliers in such situation its costly for company to switch form one supplier to another
- ✓ When suppliers can integrate vertically forward into the industry and can do the business of buyers firm directly
- ✓ When the buyer firm cannot be in position to integrate vertically backward and fails to produce the raw materials at its own

Industry driving forces

“Are those that have the biggest influence on what kinds of changes will take place in the industry is structure and competitive environment. Some forces originate in the company’s macro environment some originate from within the company’s more immediate industry and competitive environment”

Driving forces are

- Growing use of the internet and emerging new internet technology applications
- Changes in who buys the product and how they use it
- Product innovation
- Technological change and manufacturing process innovation
- Marketing innovation
- Entry or exit of major firms
- Reduction in uncertainty and business risk
- Regulatory influences and government policy changing
- Changes societal concerns, attitudes and life cycle

Key Success Factors Concept

“An industry’s key success factors are those competitive factor that most influence industry members ability to prosper in the market place”

“KSF’s are the variables that significantly affect the overall competitive position of a company



within a particular industry”

Factors are:-

- ✓ Strategy elements
- ✓ Product attributes
- ✓ Resources
- ✓ Competencies
- ✓ Competitive capabilities
- ✓ Market achievements

Types Of Industry Key Success Factors (KSFs)

- Technology related KSFs
- Manufacturing related
- Distribution related
- Marketing related
- Skills and capability related
- Other type like overall low cost, convenient locations, attracting services etc

Implementation Of KSFs

- ✓ Determining what customer wants
- ✓ Determining what firms needs to survive
- ✓ Identify the KSFs in various fields.

These are those competitive factors that affect the industry members ability to prosper in the market place.



Unit-04

Analyzing Company's Resources, Competitive Position & Generic Competitive Strategies

Analyzing Company's Resources, Competitive position-Analysis of company's present strategies-SWOT analysis, Value chain analysis, Benchmarking, Generic competitive strategies-Low cost provider strategy, Differentiation strategy, Best cost provider strategy, Focused strategy, strategic Alliances and collaborative Partnership-mergers and acquisition strategies, Outsourcing strategies

Types of Resources

1. Tangible resources:

Relatively easy to identify, and include physical and financial assets used to create value for customers

- ☐ Financial resources
 - Firm's cash accounts
 - Firm's capacity to raise equity
 - Firm's borrowing capacity
- ☐ Physical resources
 - Modern plant and facilities
 - Favorable manufacturing locations
- ☐ Organizational resources
 - Effective strategic planning processes
 - Excellent evaluation and control systems

2. Intangible resources:

Difficult for competitors (and the firm itself) to account for or imitate, typically embedded in unique routines and practices that have evolved over time

- ☐ Human
 - Experience and capabilities of employees
 - Trust
 - Managerial skills
 - Firm-specific practices and procedures
- ☐ Reputation
 - Effective strategic planning processes
 - Excellent evaluation and control systems

3. Organizational Capabilities:

Competencies or skills that a firm employs to transform inputs to outputs, and capacity to



combine tangible and intangible resources to attain desired end

- ☐ Outstanding customer service
- ☐ Excellent product development capabilities
- ☐ Innovativeness of products and services
- ☐ Ability to hire, motivate, and retain human capital

SWOT Analysis:



Meaning

SWOT analysis is a **systematic identification** of factors and the strategy that reflects the best match between them. It is based on the logic that an effective strategy maximizes a business's strengths and opportunities and minimizes its weaknesses and threats. This simple assumption if accurately applied has powerful implications for successfully choosing and designing an effective study.

Definition

SWOT is an ellipsis for the internal Strengths and Weaknesses of a business and environmental Opportunities and Threats facing that business.

I. Strength

Strength is a resource, skill or other advantage relative to the competitors and the needs of the markets firm serves or anticipates serving. A strength is a distinctive competence that gives firm a comparative advantage in the marketplace.

E.g.: financial resources, image.



2. Weakness

A weakness is a limitation or deficiency in resources, skills, and capabilities that seriously impedes effective performance.

E.g: Facilities, financial resources, management capabilities, marketing skills, and brand image could be sources of weaknesses.

3.Opportunity

An opportunity is a major favorable situation in the firm's environment.

Example: identification of a previously unlooked market segment, changes in competitive or regulatory circumstances

4.Threat

A threat is a **major unfavorable situation in the firm's environment**. It is a key obstacle to the firm's current and/ or desired future position.

Example: entrance of a new competitor, slow market growth, increased bargaining power of key buyers and suppliers

Benchmarking:

Benchmarking is the tool that allows a company to determine whether the manner in which it performs particular functions and activities represent industry best practices when both cost and effectiveness are taken into account. It is a point of reference against which performance is measured and compared.

In short, bench marking is:

- Knowing your position or operation
- Knowing the industry leaders or competitors
- Incorporating the best practices
- Gaining superiority.

Bench marking helps a company to know?

- How materials are purchased?
- How products are assembled?
- How fast the company can get new product to market?
- How the quality control function is performed?
- How the customer orders are filled and shipped?



- How employees are trained?
- How payrolls are processed?

Benefits of Benchmarking

- It ensures best practices will be identified, which in turn assures appropriate improvement.
- It provides a deeper understanding of the organisation's process.
- It stimulates the company to try something different.
- Identify new technology

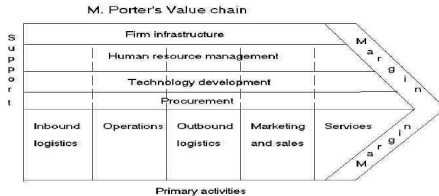
Types of Benchmarking

- ✓ **Internal benchmarking:** sharing of opinions between departments within the organisation.
- ✓ **External benchmarking:** Comparison with external organisations to discover new methods, products and services. The gap between internal and external practices displays the way where to change and if there is any need to change.
- ✓ **Functional benchmarking:** Comparative research to seek world-class excellence by comparing business performance not only against competitors but also against the best businesses operating in different industry.

Value Chain Analysis

value chain analysis, is a concept from business management that was first described and popularized by Michael Porter in his 1985 best-seller, *Competitive Advantage: Creating and Sustaining Superior Performance*.

- A value chain is a chain of activities.
- The value chain categorizes the generic value-adding activities of an organization.
- The "primary activities" include: inbound logistics, operations (production), outbound logistics, marketing and sales, and services (maintenance).
- The "support activities" include: administrative infrastructure management, human resource management, R&D, and procurement.
- This concept captures the idea that a firm is a series of functions (e.g. R&D, manufacturing, marketing, distribution etc.) and that each of these can be analyzed to determine ones own and the competitors' strengths and weaknesses



Primary value chain activities

- Inbound logistics: All those activities concerned with receiving and storing externally sourced materials
- Operations: The manufacture of products and services - the way in which resource inputs (e.g. materials) are converted to outputs (e.g. products)
- Outbound logistics: All those activities associated with getting finished goods and services to buyers
- Marketing and sales essentially: an information activity - informing buyers and consumers about products and services (benefits, use, price etc.)
- Service: All those activities associated with maintaining product performance after the product has been sold

Support activities

- Procurement This concerns how resources are acquired for a business (e.g. sourcing and negotiating with materials suppliers)
- Human Resource Management: Those activities concerned with recruiting, developing, motivating and rewarding the workforce of a business
- Technology Development: Activities concerned with managing information processing and the development and protection of "knowledge" in a business
- Infrastructure Concerned with a wide range of support systems and functions such as finance, planning, quality control and general senior management



Porter's Generic Strategies

Michael porter developed 5 generic strategies, that could used to gain the competitive advantage. Generic strategies - help 'position' the firm to best advantage, it was developed in 1980



1. **Overall low cost provider strategy:** providing the products to all the customers of the firm in low cost.
2. **Focused low cost provider strategy:** providing the products to particular segment of the firm in low cost.
3. **Broad differentiation strategy:** Differentiating the according to needs and want of the customers.
4. **Focused differentiation strategy:** Differentiating the according to needs and want of the particular segment customers.
5. **Best cost provider strategy:** providing the products to customer for the best cost compared to industry competitor.

Strategic Alliance & Collaborative Partnership:

The basic idea behind formation of a strategic alliance is to generate synergistic effect which helps in generating competitive advantage. This is based on the idea that *If you can't do a thing alone, join hands with others.* It is for a specific task or for a specific period without having equity interest. It aims at creating a win-win situation for all partners.

Mergers & Acquisition Strategy:

Merger or Amalgamation is the integration of two or more business. Is also the joining of two separate Cos to form a single Co – an external strategy for growth of the organization, a corporate-level growth strategy in which a firm combines with another firm through an exchange



of stock.

A merger occurs when two or more firms, usually of similar sizes, combine into one through an exchange of stock. Mergers are generally undertaken to share or transfer resources and or improve competitiveness by developing synergy. The name of the merged Co will go after merging. There will be one Company i.e. Merger.

Reasons for Merger.

- Quick entry in the business.- There is no gestation time and familiarity of the product or service to the market and customers.
- Faster Growth Rate - The volume of business can be raised rapidly with less risk. You can overcome competitors in certain cases. Ready utilities like production, marketing, distribution, research & Development.
- Diversification Advantages - If the acquiring Co or Merger Co wants to diversify

Outsourcing strategies.

Outsourcing involves the transfer of the management and/or day-to-day execution of an entire business function to an external service provider. The client organization and the supplier enter into a contractual agreement that defines the transferred services. Under the agreement the supplier acquires the means of production in the form of a transfer of people, assets and other resources from the client.

- Outsourcing is subcontracting a process, such as product design or manufacturing, to a third-party company.
- The decision to outsource is often made in the interest of lowering cost or making better use of time and energy costs, redirecting or conserving energy directed at the competencies of a particular business, or to make more efficient use of land, labor, capital, (information) technology and resources.
- Outsourcing became part of the business lexicon during the 1980s.

Joint venture.

A joint venture (often abbreviated JV) is an entity formed between two or more parties to undertake economic activity together. The parties agree to create a new entity by both contributing equity, and they then share in the revenues, expenses, and control of the enterprise. A joint venture (often abbreviated JV) is an entity formed between two or more parties to



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Types of International Joint Ventures

- **Traditional equity joint-venture:** Two parents from two different countries
- **Trinational :** Two parents from two different countries, set up a venture in a third country
- **Cross-national:** Two parents of same nationality, venture located in a different country



Unit-5

Business planning in different environment

Entrepreneurial level business planning , Multi stage wealth creation model for entrepreneurs, Planning for large and diversified companies ,Brief overview of innovation, integration, diversification, turnaround strategies, GE nine cell planning grid, BCG matrix

BUSINESS PLANNING IN DIFFERENT ENVIRONMENTS

Entrepreneurial level business planning

- Here entrepreneur himself is a strategist and decision maker, developing the vision, mission and strategies and also implementation
- His personal goals, traits, strategic orientation will have a significant impact on the enterprises strategy
- He has to plan about " MARKET ENTRY" which determines the strategic basis:-
 - Cost leadership
 - Differentiation
 - Focus on a market niche etc

Thus helps in knowing about competitors, buyers, substitutes , suppliers, potential entrants

Strategic alternatives for entrepreneur level are

- ✓ Creative strategy
- ✓ Improving technology
- ✓ Strategic alliance
- ✓ Expanding customer group
- ✓ Producing cheap products

Multistage Wealth Creation Model For Entrepreneurs

- Wealth creation is another feature of entrepreneurs level business planning
 - It is possible through innovation, introducing new commodity, restructuring old commodities In new way by giving competition to oligopolistic markets etc
 - This is possible only by those entrepreneurs possessing extraordinary characteristics by being Unique
- Those theoretical approaches to be unique:-



- 1) Personal traits perspective
- 2) Behavioural perspective
- 3) Cognitive perspective

Planning For Large And Diversified Companies

- Large and diversified corporations offer different settings for planning
- Usually this type of planning used for various product and market and for organization structure
- It allows decentralised decision making, involving many responsibility centres manager
- Planning usually differs from centralised and decentralized , size , levels of diversification and complexity
- Frequently assess business environment to match their strategic planning with external environment
- Thus can have many alternatives as it wants by changing mix of products, markets, functions
- Internal growth exploited through intensification and diversification
- External growth includes mergers, takeover and joint venture

Strategic alternatives for large and diversified companies [Grand strategies]

1] INNOVATION STRATEGY

- Deals with creating new product making existing similar product obsolete
- Involves new product , new ways of marketing
- Should spend more on R& D

Importance of innovative strategy

- ✓ Responding to trends and competition
- ✓ Developing a unique selling point
- ✓ innovative with existing product
- ✓ Helps to be unique, long survival, new customer, increase market share, expansion, increase sales and profit

2] INTEGRATION STRATEGY

- It is one of the ways to share the benefits of synergist effects
- It helps grow financially strong, benefits of R&D , economies of production and marketing
- It is an attempt to bring under one management the resources of 2 or more firms



Types

1) Horizontal integration

- Is possible when 2 or more firms engaged in similar activities join for betterment
- It gets betterment in areas of production, finance, marketing, manpower, R&D
Eg: Brooke bond and Lipton

Advantages

- ✓ Killing of competition
- ✓ Taking tax advantage by accepting sick units
- ✓ Better utilization of resources
- ✓ Overall value added activities

Disadvantage

- ✓ domination by acquired company
- ✓ Co-ordination problem
- ✓ Lacking in innovation, resources etc

2) Vertical integration

“Takes place when a firm accepts either earlier activities or the later activities than what it is engaged in the series of activities that start converting raw materials till the handing over of the end products to the class of consumer”

- ✓ It implies either forward or backward integration or both

a) Backward integration “moving to earlier stages of manufacture

Reasons why?

- ✓ Getting regular adequate supply of inputs
- ✓ Benefits of quality control
- ✓ Higher return by better use of facilities
- ✓ Improve negotiation with supplier etc

Reasons why not?

- ✓ Procurement cost may be more
- ✓ Changing technological and economic conditions

b) Forward integration “expansion refers to moving higher up in the production and distribution process towards the end user or customer”

Reasons why?

- ✓ Better control over sales and prices



- ✓ Harnessing competitive advantage

Reasons why not?

- ✓ Complications in dealing with customers
- ✓ Difficulty in technological levels in the down stream lines

Advantage

- ✓ Economies of integration
- ✓ Best tapping of technology
- ✓ Assured supply of inputs and demand for end products
- ✓ Enhanced ability to differentiate
- ✓ Elimination of entry and exit barriers

Disadvantage

- ✓ Huge capital investment
- ✓ Danger of imbalance of technology
- ✓ Danger of size difference
- ✓ Managerial problems etc

3] DIVERSIFICATION STRATEGY

"Expanding the activities to different product lines and markets without abandoning the existing

Product line and markets"

Types

1) Concentric diversification

- ✓ Related to existing product
- ✓ Introduction of new product to serve similar customers in similar markets and using technologies similar to the present product or service line

Example:- vacuum cleaner and water purifier

2) Conglomerate diversification

- ✓ Addition of dissimilar products or services to the existing line of business

Example :- ponds diversified into leather products

Why?

Spreads risks

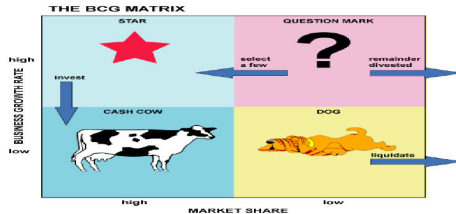
- ✓ Better utilisation of resources
- ✓ Dominant in markets
- ✓ Competitive edge etc



4) TURNAROUND STRATEGY

- ✓ Is a part of retrenchment strategy
- ✓ Retrenchment strategy is the strategic option which entails reduction of any existing product or service line along with the level of objectives set below the past achievements”
- ✓ It is a situation may be improvement in original lower performance caused by downward trend that is not controllable by present actions of the management

BCG (BOSTON CONSULTING GROUP) MATRIX



STARS (high growth , high market share)

- ✓ Need large investment of cash
- ✓ Leaders in business
- ✓ Should generate large amounts also
- ✓ Reward will be cash cow that is more profitable

CASH COW (low growth , high market share)

- ✓ Indicates large amounts of cash and profit and business growth rate is slow
- ✓ Need little investment but generate excess cash
- ✓ Generated cash can be utilized for investment in other business units to maintain strong Market share
- ✓ It usually follows stability strategies.

DOGS (Low growth, low market share)

- ✓ They neither generate cash nor require huge amount of cash
- ✓ They face cost disadvantage
- ✓ Generally retrenchment strategy are adopted because firms can gain market share only at the



expenses of rival firms

- ✓ Weak market share because of poor quality, ineffective marketing, high cost etc
 - ✓ If no other strategic aim it should be liquidated if fewer prospects to gain market share
- Number of dogs should be avoided/ minimized

QUESTION MARK (high growth, low market share)

- ✓ Require huge amount of cash to maintain or gain market share
- ✓ Low market share makes their profit potential uncertain
- ✓ No specific strategy which can be adopted
- ✓ If it think it has dominant market share , then it can adopt expansion strategy else retrenchment strategy

Ge Nine Cell Planning Grid

- ✓ It is also called as General Electric's spotlight matrix. Designed to help a business to review its products and decide on which of its product the business can invest its money
- ✓ It is a multi factor portfolio planning matrix used by GE company , which has different way of thinking

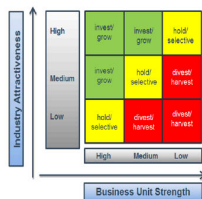
It is divided into 2 dimensions

1) Industry attractiveness

- ✓ Includes market size ,growth rate, competition, economies of scale ,technology ,social environmental legal and human factors
- ✓ Has to be assessed the strength and importance of different factors for being successful in an industry

2) Business strength

- ✓ Includes market share, profit margin, ability to compete, customer and market knowledge , competitive position, and management intellectual to measure business strength
- ✓ Assessed considering strength and rated subjectively based on personal experience





In GE matrix the products can be divided into 3 categories.

1. Green zone: here both the industry attractiveness and Business unit strengths are high, in this case the company can invest its money and resources on these products.
2. Yellow Zone: both the industry attractiveness and Business unit strengths are medium; in this case the company can wait for some time and then invest its money and resources on these products.
3. Red zone: both the industry attractiveness and Business unit strengths are low, in this case the company cannot invest its money and resources on these products.



Unit-06

Strategy implementation

Strategy implementation, barriers for strategy implementation, Operationalizing strategy, Annual objectives, developing functional strategies, developing and communicating concise policies, institutionalizing the strategy, Structure, Leadership and culture.

Definition of strategy implementation:

According to Harvey, “Executing the strategic plan is called strategy implementation; this includes setting policies, designing the organizational structure and developing a corporate culture for the attainment of organizational objectives”

Strategy implementation is the way in which a company creates the organizational arrangements that allow it to put its strategic plan into operation most efficiently and to achieve its objectives.

- ✓ Operational in character
- ✓ Activating the chosen strategy
- ✓ Transforming strategic intentions into action
- ✓ Securing and organizing resources
- ✓ Directing using of resources efficiently

Strategy implementation process:

There are six steps in the process of strategy implementation:

Step 1: Building an organization which is able to execute the strategy:

The organizational structure should support the practical implementation of strategy.

Employees of the firm should be skillful enough to execute the strategy.

Step 2: Establishment of strategy supportive budget:

For the purpose of attaining strategic target, the firm should have the Employee, Equipment, Amenities and assets needed for the successful accomplishment of the strategic plan.

Step 3: Installment of internal Administrative support system:

Internal Administrative system refers to the information system, inventory, cost accounting, and customer service. The company should install these systems in effective way before implementing the strategy.



Step 4: Reward and incentives:

Organization should motivate its employees with the help of rewards and incentives.

Step 5: Giving shape to corporate culture for fitting it in strategy:

It has been found through the research that new strategies are usually market oriented.

Altering the organization culture making it suitable for new strategy is generally more efficient than changing the strategy to suit with the organizational culture.

Step 6: Exercising strategic leadership.

Dedicating and accomplishing strategy are the part of strategic leadership.

Barriers for strategy implementation:

1. Time horizon
2. Lack of communication
3. Resource limitation
4. Lack of coordination
5. Ineffective leadership
6. Alignment of management processes
7. Risk consideration
8. Behaviour barriers
9. Measurement, follow up and Accountability.

Operationalizing Strategy

Operationalizing strategy can be defined as implementing the strategy formulated at corporate level in the operation level.

It includes formulating the annual objectives, Functional strategies, policies, resources allocation and action plan to implement those strategy at the operational level.

3 Elements Or Steps In Operationalizing Strategy Are:

1) DETERMINING ANNUAL OBJECTIVES

"it is a translation of long term aspirations into years budget"

Eg: establish 2 more branches, develop 1 more new product, diversify into international market etc

- serves as guidelines for action & direction



- Standards of performance
- Source of employee motivation and identification
- Basis for Monitoring & controlling organizational performance

2) DEVELOPING FUNCTIONAL STRATEGIES

"A functional strategy is the short term game plan for important functions within a firm, it provides more specific details about how key functions areas such as production, finance, marketing, personnel are to be managed in the near future"

PURPOSE OF FUNCTIONAL STRATEGIES

- Specific rules and regulations
- Strategic decisions are smoothly implemented by all
- Can be uniformly regulated and bound by set of policies
- Quick decisions by their functional heads
- Good coordination between all levels

3) DEVELOPING AND COMMUNICATING CONCISE POLICIES

- ✓ Policies communicate guidelines to decisions
- ✓ Establish indirect control over independent action
- ✓ Promote uniform handling, eradicate discrimination, improve coordination
- ✓ Quicker decisions by standardizing answers
- ✓ It decreases uncertainties
- ✓ Predetermined answers to routine problems
- ✓ It enhances overall efficiency
- ✓ It creates effective standards and improves morale and ethics etc.

Institutionalizing The Strategy

Meaning :- "it translates an organization's code of conduct, mission, policies, vision & strategic plans into action, guidelines applicable to the daily activities of its office & other employees to integrate fundamental value & objective into the organization's culture & structure"

3 organizational essential elements are:-

- ✓ Structure
- ✓ Culture
- ✓ leadership



1] CORPORATE STRUCTURE

"Internal organizational is the structural framework of duties and responsibilities, required of personnel in performing various functions within the company"

TYPES OF STRUCTURES ARE:-

- Simple structure
- Functional structure
- Divisional structure
- Strategic business unit structure
- Matrix structure

2] CORPORATE CULTURE AND STRATEGY

"Corporate culture is the collection of beliefs, expectations, and values learnt and shared by the members of the organization and transmitted from one generation of employees to another"

Corporate culture should be:-

- ✓ sensible and consistent to strategic requirement
- ✓ Strategy based & Supports decision making
- ✓ Genuine to customers ,employees, & shareholders
- ✓ Leader to arrive at matching strategy cultural fit
- ✓ Flexible to match strategy need.

3] CORPORATE LEADERSHIP

"Leadership is a process of managing the strategy execution process, leader is a resource allocator, motivator, crisis solver etc"

Leadership actions and managerial practices

- Treating employees with dignity and respect
- Encouraging and recognizing employees
- Motivating and solving problems
- Resolving conflicts
- Maintaining good relationship and coordinating
- Sharing opinion and suggestions
- Sharing profit and celebrating success